

Price Elasticity of Supply

▼ What is price elasticity of supply?

Refers to the responsiveness of quantity supplied to changes in the price, E_s

▼ What is the formula for price elasticity of supply?

$E_s = \text{Percentage change in quantity supplied} / \text{Percentage change in price}$

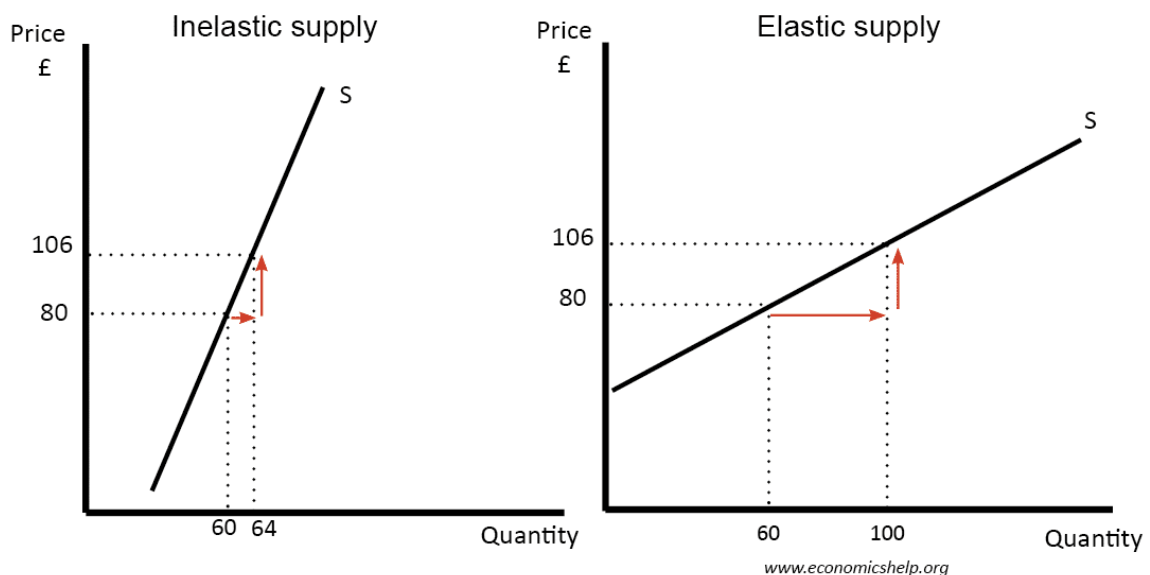
▼ When is PES elastic and inelastic?

Elastic > 1

Percentage change in quantity supplied is greater than the percentage change in price

Inelastic < 1

Percentage change in quantity supplied is smaller than the percentage change in price



▼ What is perfect elasticity, inelasticity and unitary elasticity of PES?

Perfectly elastic $= \infty$

Quantity supplied changes infinitely if price changes
Perfectly inelastic = 0

Quantity supplied doesn't change if price changes
Unitary elastic = 1

Quantity supplied changes proportionately to price changes

▼ **What are the determinants of PES?**

Time

The amount of time that it takes producers to react to a change in prices

Nature of industry

The nature of the products produced affect the ease of producers to change their volume of production

Production time

Available technology

Available resources

Marginal cost of production

The opportunity cost of producing one extra unit of output